QP Code : 25901879

MGU-BVOC (HONOURS) Regular Examinations, April 2026

Second Semester

MG2SDCTAH101- FINANCIAL MANAGEMENT

Max Marks: 70

PART A

Answer in one or two sentences

Answer any 10 questions

Each question carries 2 marks each

1. What role does Financial Management play in business growth?

Financial management helps in planning and utilizing funds effectively.
It ensures availability of adequate finance for expansion.
It supports investment and operational decisions.
Thus, it plays a key role in business growth.

2. State two features of an optimum capital structure.

An optimum capital structure balances debt and equity properly.
It minimizes the overall cost of capital.
It ensures maximum return to shareholders.
It also maintains financial stability.

3. What is the significance of fixed assets in business growth?

Fixed assets are essential for production and operations.
They help in increasing the capacity of a business.
They improve efficiency and productivity.
Thus, they support long-term growth.

4. What is payables management?

Payables management refers to managing a firm’s short-term liabilities.
It involves timely payment to suppliers and creditors.

It helps maintain good relationships with vendors.
It also ensures efficient use of cash.

5. What is net profit ratio?

Net profit ratio measures profitability of a business.
It shows the percentage of net profit to total sales.
It indicates overall efficiency of operations.
Higher ratio means better profitability.

6. Why is financial control important in a business?

Financial control helps in monitoring financial performance.
It ensures proper use of funds.
It helps in reducing wastage and inefficiency.
Thus, it improves overall financial discipline.

7. Why is maintaining adequate working capital important?

Adequate working capital ensures smooth daily operations.
It helps in meeting short-term obligations.
It avoids liquidity problems in business.
Thus, it maintains financial stability.

8. State any two factors affecting financial planning.

Nature and size of the business affect financial planning.
Economic conditions also influence planning decisions.
Government policies play an important role.
Availability of funds is another factor.

9. Define Fund Flow Statement.

A fund flow statement shows the movement of funds in a business.
It explains sources and uses of funds.
It helps analyze financial position over a period.
It is useful for financial planning and control.

10. How does a Financial Manager manage working capital?

A financial manager plans the level of current assets and liabilities.
He ensures proper management of cash, inventory, and receivables.
He maintains a balance between liquidity and profitability.
Thus, he ensures smooth business operations.

11.State any 2 objectives of capital budgeting.

Capital budgeting aims to select the most profitable investment projects.
It helps in efficient allocation of financial resources.
It ensures long-term growth and expansion of the business.
Thus, it supports value maximization for the firm.

12.State any 2 disadvantages of financial leverage.

Financial leverage increases the financial risk of a business.
Fixed interest payments must be made regardless of profits.
It may lead to financial distress during low earnings.
Thus, excessive leverage can affect the firm's stability.

PART B

Short essays

Answer any 6 questions

Each question carries 5 marks each

13. Explain how financial goals support long-term growth and sustainability of a business.

Financial goals provide a clear direction for a business's future growth.
They help in setting measurable targets like revenue, profit, and market expansion.
With defined goals, businesses can allocate resources efficiently.

They guide decision-making in investment, financing, and operations.
Financial goals ensure that the company maintains profitability over time.
They also help in managing risks by preparing for uncertainties.
Long-term goals encourage sustainable practices rather than short-term gains.
They improve accountability among managers and employees.
Financial planning based on goals enhances investor confidence.
Overall, financial goals act as a roadmap for stable and continuous business growth.

14. Explain how business growth and expansion affect working capital.

Business growth increases the demand for working capital.
Expansion leads to higher inventory, receivables, and operational expenses.
More sales often mean more credit sales, increasing accounts receivable.
Companies may need additional cash to manage day-to-day operations.
Rapid expansion can create a shortage of working capital if not planned.
Businesses may rely more on short-term financing during growth phases.
Proper working capital management becomes crucial during expansion.
Inefficient management can lead to liquidity problems.
Growth may also improve cash inflows if sales are well managed.
Thus, expansion directly impacts both the need and management of working capital.

15. Explain how mismanagement can lead to over or under-capitalization.

Mismanagement of funds can result in incorrect capital estimation.
Over-capitalization occurs when a company raises more capital than needed.
This leads to low returns and inefficient use of resources.
Under-capitalization happens when there is insufficient capital for operations.
It can cause operational difficulties and missed opportunities.
Poor financial planning is a major cause of both situations.
Lack of proper forecasting leads to imbalance in capital structure.
Inefficient utilization of funds also contributes to mismanagement.
Management decisions without proper analysis worsen the situation.
Thus, effective planning and control are essential to avoid capital issues.

16. Explain the meaning and importance of CVP analysis.

CVP (Cost-Volume-Profit) analysis studies the relationship between cost, volume, and profit.
It helps determine how changes in costs and sales affect profit.
The analysis is useful in calculating the break-even point.
It assists managers in pricing decisions.
CVP helps in planning production levels.
It is useful for profit planning and forecasting.
The analysis simplifies complex financial data for decision-making.
It also helps in evaluating business risk.
Managers can use it to analyze the impact of cost changes.
Overall, CVP analysis is a vital tool for financial planning and control.

17. Discuss the remedies for overcapitalization.

Reduction of share capital is a common remedy for overcapitalization.
Companies may reorganize their capital structure.
Improving efficiency in operations can increase profitability.
Assets that are not productive can be sold off.
Debt restructuring may help reduce financial burden.
Companies can reduce fixed costs to improve returns.
Better management practices can enhance performance.
Increasing sales through marketing strategies is also helpful.
Dividend policies may be revised to balance returns.
Overall, proper financial restructuring can correct overcapitalization.

18. Discuss capital structure decisions as an important area in Financial Management.

Capital structure refers to the mix of debt and equity in a firm.
It is a key decision in financial management.
Proper capital structure minimizes the cost of capital.
It helps in maximizing shareholders' wealth.
The decision affects the financial risk of the company.
Too much debt increases interest burden and risk.
Too much equity may dilute ownership and returns.
Managers must balance risk and return carefully.
Capital structure also impacts the company's valuation.
Thus, it plays a crucial role in long-term financial stability.

19. Explain the factors influencing capital investment decisions.

Expected return is a major factor in investment decisions.
Risk associated with the investment is carefully evaluated.
Cost of capital influences project selection.
Availability of funds also affects decisions.
Economic conditions impact investment planning.
Government policies and regulations play a role.
Technological changes may influence investments.
Market demand and competition are important considerations.
Payback period and profitability are analyzed.
Thus, multiple internal and external factors affect investment decisions.

20. Explain the meaning and definition of Capital Structure.

Capital structure refers to the combination of different sources of finance.
It includes equity, preference shares, and debt.
It represents how a company finances its operations and growth.
A proper capital structure ensures financial stability.
It balances risk and return for investors.
Debt provides tax advantages but increases risk.
Equity ensures ownership but may dilute control.
The structure varies from company to company.
It is influenced by business size, nature, and market conditions.
In simple terms, capital structure is the mix of funds used by a firm.

PART C

Essay

Answer any 2 questions

Each question carries 10 marks

21. Explain the importance of Financial Management in modern business and discuss how it helps in achieving organizational goals.

Financial Management is essential for the smooth functioning of modern businesses.
It involves planning, organizing, directing, and controlling financial

resources.
It helps firms ensure the availability of adequate funds at the right time.
Efficient financial management leads to optimal utilization of resources.
It plays a key role in profit maximization.
At the same time, it focuses on wealth maximization for shareholders.
Financial management supports strategic decision-making in organizations.
It helps in selecting the best investment opportunities.
Proper financing decisions reduce the cost of capital.
It ensures a balanced capital structure between debt and equity.
Financial planning helps businesses achieve long-term goals.
It also assists in managing risks and uncertainties.
Cash flow management ensures liquidity and solvency.
Financial control helps in monitoring performance and reducing wastage.
It enhances coordination among different departments.
Budgeting and forecasting improve operational efficiency.
Financial management increases investor confidence.
It supports sustainable growth and expansion of the business.
It helps in achieving both short-term and long-term objectives.
Thus, financial management is vital for achieving organizational goals effectively.

22. Discuss in detail the meaning, nature, and significance of investment in fixed assets.

Investment in fixed assets refers to spending on long-term assets.
These assets include machinery, buildings, and equipment.
Such investments are also known as capital expenditures.
They are essential for production and operational activities.
Fixed assets provide benefits over a long period.
These investments are usually large and irreversible.
They require careful planning and evaluation.

The nature of fixed asset investment is long-term in scope.
It involves high risk due to uncertainty in returns.
Decisions are based on techniques like NPV and IRR.
Proper investment ensures efficient production processes.
It helps in increasing productivity and output.
Modern equipment improves quality and reduces costs.
Investment in fixed assets supports business expansion.
It also enhances the competitive position of a firm.
Such investments contribute to economic development.
They generate employment opportunities.
Poor investment decisions can lead to heavy losses.
Therefore, careful analysis is essential before investing.
Overall, fixed asset investment is crucial for long-term growth and stability.

23. Define Capital and explain its characteristics, types, and importance in business and economic development.

Capital refers to the financial resources used in a business.
It is required to start and run business operations.
Capital includes money, machinery, and other assets.
It is a crucial factor of production.
One characteristic of capital is that it is man-made.
It is used to generate income and wealth.
Capital is durable and used over time.
It requires proper management for effective utilization.
Capital can be classified into fixed and working capital.
Fixed capital is used for long-term assets.
Working capital is used for day-to-day operations.
Capital can also be classified as owned and borrowed capital.
Owned capital includes equity and retained earnings.
Borrowed capital includes loans and debentures.
Capital plays a vital role in business growth.
It helps in expanding operations and increasing production.
Adequate capital ensures smooth functioning of business activities.

It contributes to technological advancement.
Capital formation leads to economic development.
Thus, capital is essential for both business success and national growth.